

**SUBSTITUTE FOR
SENATE BILL NO. 535**

A bill to amend 1976 PA 331, entitled
"Michigan consumer protection act,"
(MCL 445.901 to 445.922) by adding section 3j.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 3j. (1) A person engaged in trade or commerce that sells,**
2 **leases, or offers to sell or lease a service or good to a consumer**
3 **under a consumer contract with an automatic renewal provision shall**
4 **disclose the automatic renewal provision in a clear and conspicuous**
5 **manner in the contract or contract offer. A disclosure under this**
6 **subsection must include all of the following:**

7 **(a) That the contract will automatically renew if the consumer**
8 **agrees to the contract.**

9 **(b) The length of the initial term of the contract and the**



1 length of each renewal period under the contract.

2 (c) The amount to be charged to the consumer for the initial
3 term of the contract and the amount to be charged to the consumer
4 for any renewal period, including, but not limited to, both of the
5 following:

6 (i) The terms of any promotional or discounted price for a
7 limited period of time.

8 (ii) If the contract or contract offer includes a free gift or
9 trial period, a clear and conspicuous explanation of the price that
10 will be charged after the trial period ends or the manner in which
11 the pricing will change on conclusion of the free gift or trial
12 period.

13 (d) If any terms of the contract will change on contract
14 renewal, a list and explanation of those terms.

15 (e) That, after the consumer agrees to the contract, the
16 consumer will receive an acknowledgment that includes the terms of
17 the automatic renewal provision, cancellation policy, and
18 information regarding how to cancel the contract in a form that is
19 capable of being retained by the consumer.

20 (f) That the consumer may cancel the contract up to the day
21 before the renewal is processed.

22 (g) An easy-to-use mechanism to cancel the contract.

23 (2) After a consumer enters into a contract with a person
24 engaged in trade or commerce under subsection (1), the person shall
25 provide an acknowledgment, in a form capable of being retained by
26 the consumer, that includes the terms of the automatic renewal
27 provision, the cancellation policy, and information regarding how
28 to cancel using the easy-to-use mechanism to cancel the contract
29 required under subsection (3). If the contract includes a free gift

1 or trial period, the acknowledgment must also disclose how to
2 cancel the contract before the consumer pays for the goods or
3 services.

4 (3) A person engaged in trade or commerce under this section
5 shall provide a consumer who accepts a consumer contract with an
6 automatic renewal provision an easy-to-use mechanism to cancel the
7 contract. If a consumer uses an easy-to-use mechanism to cancel the
8 contract, the person shall promptly provide a confirmation of
9 cancellation to the consumer.

10 (4) A person engaged in trade or commerce under this section
11 shall not automatically renew a consumer contract for a specified
12 period of more than 2 months unless the person provides the
13 consumer with electronic notice before the end of the contract term
14 that meets both of the following requirements:

15 (a) Sets forth in a clear and conspicuous manner all of the
16 following:

17 (i) That unless the consumer cancels the contract, the contract
18 will automatically renew.

19 (ii) That the consumer may cancel the contract up to the day
20 before the renewal is processed.

21 (iii) A list and explanation of any terms of the contract that
22 will change on contract renewal.

23 (iv) The specific procedure by which the consumer may cancel
24 the contract.

25 (v) An easy-to-use mechanism to cancel the contract.

26 (b) Is served on the consumer not less than 30 days and not
27 more than 60 days before the last day on which the consumer may
28 give notice of the consumer's intent to cancel the contract.

29 (5) A person engaged in trade or commerce under this section



1 shall do all of the following, as applicable:

2 (a) For a subscription that is 1 year or longer,
3 electronically notify the consumer not less than 15 days and not
4 more than 45 days before the automatic renewal of the subscription
5 that the consumer is subscribed to the person's service, that the
6 consumer will continue to pay if no action is taken by the
7 consumer, and instructions on how to cancel the subscription.

8 (b) For a subscription that is month-to-month, if any of the
9 terms of the contract change from the previous month on contract
10 renewal, provide a receipt to the consumer with a monthly charge
11 electronically, if the consumer has provided the person with an
12 email, or by mail, if the consumer has elected to have notices
13 delivered by mail. A consumer may elect to opt out of receiving a
14 receipt required under this subdivision.

15 (c) For a subscription trial or discounted service that is for
16 less than 1 month at a provided rate before resuming the standard
17 price for the subscription or service, notify the consumer not less
18 than 3 days but not more than 15 days before the standard price
19 resumes.

20 (6) A person engaged in trade or commerce under this section
21 shall not do any of the following:

22 (a) Fail to allow the consumer a minimum of 30 calendar days
23 after the receipt of the electronic notice under subsection (4) to
24 give notice of the consumer's intent to cancel the contract at the
25 end of the initial term or at the end of any additional renewal
26 period.

27 (b) Fail to honor a cancellation notice timely given by a
28 consumer under this section, regardless of whether the person
29 receives the cancellation notice before or after the expiration of



1 the notice period.

2 (c) Charge an additional cost or penalty to cancel a contract
3 at the end of the initial term, at the end of any additional
4 renewal period, or, if applicable, at the end of a free gift or
5 trial period.

6 (7) A consumer contract that is contrary to this section is
7 voidable by the consumer.

8 (8) This section applies only to a contract that takes effect
9 or is extended, renewed, or modified after the effective date of
10 the amendatory act that added this section.

11 (9) This section does not apply to a business, or any
12 affiliate of that business, offering telephone, wireless, or
13 broadband services that is regulated by the Michigan public service
14 commission.

15 (10) If a person engaged in trade or commerce under this
16 section shows that a violation of this section was not intentional
17 and resulted from a bona fide error made notwithstanding the
18 maintenance of procedures reasonably adopted to avoid such error,
19 the person is not in violation of this section.

20 (11) This section may be enforced only by the attorney general
21 or a prosecuting attorney. A person other than the attorney general
22 or a prosecuting attorney shall not bring an action under section
23 11 in relation to a violation of this section.

24 (12) As used in this section:

25 (a) "Automatic renewal provision" means a provision under
26 which a consumer contract is renewed for a specified period of more
27 than 1 month unless the consumer gives notice of the consumer's
28 intent to cancel the contract.

29 (b) "Clear and conspicuous" means either of the following:



1 (i) For a print disclosure, in larger type than the surrounding
2 text, or in contrasting type, font, or color to the surrounding
3 text of the same size, or set off from the surrounding text of the
4 same size by symbols or other marks, in a manner that clearly calls
5 attention to the language.

6 (ii) For an audio disclosure, in a volume and cadence
7 sufficient to be readily audible and understandable.

8 (c) "Consumer contract" or "contract" means a contract for the
9 sale or lease of a service or good to a consumer. Consumer contract
10 does not include any of the following contracts:

11 (i) A contract by a person that is regulated under the
12 insurance code of 1956, 1956 PA 218, MCL 500.100 to 500.8302, or by
13 an affiliate of person under this subparagraph.

14 (ii) A service contract as that term is defined in section 125
15 of the insurance code of 1956, 1956 PA 218, MCL 500.125.

16 (iii) A contract that is cancelable by the consumer at any time
17 for a pro rata refund of any unearned amounts.

18 (d) "Easy-to-use mechanism to cancel the contract" means a
19 clear, readily accessible, cost-effective, and user-friendly method
20 that a consumer may use to cancel a contract with an automatic
21 renewal provision regardless of the method that the consumer
22 initially used to enter into the contract. Easy-to-use mechanism to
23 cancel the contract includes, but is not limited to, all of the
24 following methods:

25 (i) If the person engaged in trade or commerce under this
26 section maintains a public website for business purposes, a
27 dedicated and easily discoverable option on the public website with
28 a minimal number of straightforward steps.

29 (ii) An easily accessible toll-free telephone number that is

1 answered during normal business hours.

2 (iii) An email address.

3 (iv) If the person engaged in trade or commerce under this
4 section directly bills the consumer, a mailing address.

5 Enacting section 1. This amendatory act does not take effect
6 unless Senate Bill No. 536 of the 103rd Legislature is enacted into
7 law.